

Credit Spreads Part 1 on Saturday August 10, 2024

0 Min- intro and Outline. Also, Credit Spread Examples in Volatile high VIX period.

9:46 - What is a Credit Spread?

10:05- Example of Put Credit Spread in High VIX of mid 30's on 8-5-24. Advantages of Credit Spreads when VIX is High?

15:45- Is it Better to do Put Credit Spreads when VIX is High or Low?

17:36- Do Call Credit Spreads perform better when VIX is High?

17:46- Is Market Direction or the level of VIX more important to Credit Spread success?

19:20- Big Picture Look at Option Trades and where Credit Spreads fit into a Trading Plan ?

31:10- Plan for Credit Spreads in an Options Portfolio.

38:25- Credit Spreads: Greeks, Visually looking at Graphs, Probabilities, T + 0 line on a Graph?

1:04:45 - Example of Put Credit Spread System #1 : No Touch Risk Management (No Adjustments).

1:12:14- Differences between Put and Call Credit Spreads?

1:25:10- Example of Put Credit System #2: Adjusting the spread when it goes against you?

End 148:26

Credit Spreads Part 2

0- Review of part 1 Outline and what I covered?

.40 - Where Credit Spreads fit in an Options Portfolio ? Credit Spread Flexibility: Can fit in Long, Range Bound , or Speculative part of Portfolio.

1:37 -How to Look at a Credit Spread Graph?

1:55- Good Vehicles for Credit Spreads?

2:30 -Long Portfolio Credit Spreads?

2:50 -Directional Credit Spreads?

3:05 -Credit Spreads when VIX is High?

4:05 -Alternative to Low Yielding Cash secured Puts in Stocks? Answer: Wide Put Credit Spreads

12:16 -SPX Put Credit Spread: Variety of Widths to choose and Capital Requirements?

14:05- Picking strikes for a Credit Spread by the Delta ? Contrasting Probabilities and Yields and Risk/Rewards with Credit Spreads?

20:32- Choosing width of Credit Spreads?

22:04- Credit Spreads and Technical Indicators?

32:15 Execution of Credit Spreads: Importance of Liquidity?

33:30- How to Hedge Credit Spreads at the beginning of the Trade?

46:48 Making a Profit target and Max Loss and when to exit early?

End 52:10

Part 3 Credit Spreads :Adjustments

0- Intro and Review

1:23 Credit Spread System #2 corrections
2:00- When to adjust a Credit Spread when you are not increasing your Contract Size?
2:20- Why do I like a 20 Delta for picking the short strike to sell on a Credit Spread?
3:30- Put Credit Spreads in Long Portfolio?
3:45 - Spec part of Portfolio might use a higher Delta for Short Strike, why?
4:21- Long Portfolio
4:35- Cash Secured Put Alternatives?
5:30- Ideas for Credit Spread Adjustments?
6:25- Adjustment #1: Turning a Credit Spread into an Iron Condor (using puts as an example) by adding a Call Credit Spread.
10:09 When to Adjust Credit Spreads?
12:30 Adjustment #1 continued
17:25- How much SPX will have to move before you have to Adjust a typical Put Credit Spread? (When to Adjust)
22:55- Adjustment #2: Turning Credit Spread into a Broken Wing or Skipped Strike Butterfly?
33:40- Adjustment #3: Turning Credit Spread into a Balanced Butterfly (Time Bomb)?
36:28 Adjustment #4: Turning Credit Spread into Ratio Backspreads on Upside and Downside
49:30- Adjustment #5: Turning Credit Spread into Diagonals
59:00- Adjustment #6: Turning Credit Spread into Calendars
1:05:37-Adjustment #7: Narrow Width of Credit Spreads?
1:06:16- Adjustment #8: Take it Off or reduce your position?
1:06:50-Adjustment #9: Roll the Credit Spread further out 30-40 Days out or out and down?
1:08:05- Adjustments that are better when VIX is low or when VIX is elevated
End 1:09:40

Iron Condors Part 1

0- Intro and Outline
1:02 What are Iron Condors?
10:10- The Greeks of Iron Condors and the Profit Graphs and Profit and Loss?
26:50 Short Strangle: Foundation of an Iron Condor
29:17- Iron Condor Alternatives (Long Vega), with same Short Strangle as Iron Condors (Short Vega), and VIX Guidelines for Trades
End 39:31

Iron Condors Part 2

0- Review and Intro
1:08 -Can you do Iron Condors all the time?
2:45 -Duration, Strikes, and Width of Iron Condors
6:05- Vehicles to Trade?
7:20- Legging into and out of Iron Condors and Keeping a Clean Kitchen AND Getting out of Iron Condors quicker than usual.
17:50- Scaling into Iron Condors

19:54- 4 Step Risk Management on Iron Condors
21:20- Execution when entering or exiting Iron Condors
22:34- Three Systems for Trading Iron Condors
34:07- Zero Day Iron Condors
End 44:52

Iron Condors Part 3 : Adjustments

.23- Three basic Systems or Methodologies for Iron Condors
6:10- iron Condor Adjustments:
6:28- #1: Take off some Spreads
8:22- #2: Roll the Good Side
14:12- #3: Roll the Bad Side
20:40-#4: Roll Both Sides- Purely Trending Market
22:50- #5 Rolling one side or both out in time
26:00- #6 : Buy a Single Option- Call or put
31:32- #7: Buy a Vertical Spread
33:35- #8: Adjustments in Low VIX versus High VIX environment
35 Miscellaneous
35:25- Hedging an Iron at the beginning of the Trade
End 39:05

NOTE : For above Adjustments : Specific Adjustments when adjusting the Bad Side: refer to vertical Adjustments Slides. Didn't list here because of repetition